

The firm-specific value chain model is the one proposed by Michael Porter in 1985. He categorised all activities performed by a firm as primary activities or support activities.

Primary activities add value directly to the production, i.e. they contribute directly in transforming inputs into outputs. **Support activities** are those that are required at the firm level; they support execution of primary activities rather than directly contribute to the production process.

Primary Activities

● Inbound Logistics

The process of receiving raw materials or parts from the suppliers and storing them for the production.

● Operations

The process of converting inputs into the final product or service.

● Outbound Logistics

The storage and distribution of the final product to distribution centers, wholesalers, retailers, and customers.

● Marketing and Sales

The process of targeting the product or service to the right customer segment and promotion of the product.

● Service

The activities required to keep the product working effectively for the buyer, such as installation, training, repair, and maintenance.^[3]

● Technology Development

Research to determine how the company can use technology to automate processes and develop new products.

● Human Resource Management

The activities involved with recruiting, training, and retaining the employees needed.

● Procurement

The sourcing of raw materials at the correct cost and quality.

● Firm Infrastructure

The activities involved with the company's structure, management, planning, accounting, and finances.^[3]

Support Activities